MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/01

Paper 1

October/November 2024

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **all** questions.

The number of marks is given in brackets [ ] at the end of each question or part question.

Answer **all** questions.

Question 1: Japan's persistent economic difficulties

Extract 1: Japan's economic prospects following the pandemic

Following the COVID-19 pandemic of 2020–2022, the Japanese economy has been suffering from weak domestic demand and external economic pressures. Japan's real GDP growth is forecast to increase by 1.9% in 2023 and 0.9% in 2024. Domestic demand from consumers and firms is recovering slowly although demand for Japan's exports is weak partly due to disruptions to the normal workings of the global economy.

Table 1 shows the actual percentage changes in the components of Japan's aggregate demand in 2019 to 2022 and forecasts of percentage changes made by the Organisation for Economic Co-operation and Development (OECD) for the period 2023 to 2024. Table 2 provides actual and forecast data on selected macroeconomic key performance indicators (KPI) over the same periods.

Table 1: Components of Aggregate Demand, Japan, 2019 to 2024

	Yen (trillion) in current prices	% changes				
	2019	2020	2021	2022	2023*	2024*
Private consumption	304.6	−5.2	1.3	2.9	1.4	1.1
Private and government investment	142.5	−4.9	−1.5	−1.0	3.7	1.6
Government consumption	111.3	2.3	2.1	1.5	0.1	−0.9
Exports of goods and services	97.4	−11.6	11.8	4.6	2.9	2.2
Imports of goods and services		−6.7	5.1	7.4	2.4	1.8
Net exports	−1.6	−0.8	1.0	−0.6	0.0	0.0

Table 2: Selected macroeconomic KPI for Japan, 2019 to 2024

	2019	2020	2021	2022	2023*	2024*
Real GDP growth (% change)	−0.4	−4.1	2.6	1.0	1.9	0.9
Consumer price index (% change)	0.0	0.0	−0.2	2.3	2.0	1.7
Unemployment rate (%)	2.4	2.8	2.8	2.6	2.5	2.4
Content (from *Household saving ratio in Japan from 1994 to 2024*; statista.com, 2022) removed due to copyright restrictions.						
Budget balance (% GDP)	−3.0	−9.0	−5.5	−6.7	−5.9	−4.3
Government debt (% GDP)	236.4	241.3	241.6	248.0	250.6	251.8
Current account balance (% GDP)	3.5	2.9	4.0	1.8	1.1	0.9

*forecast

Sources: OECD Economic Outlook, Issue 2 and IMF datamapper, both November 2022

Successive Japanese governments and the Bank of Japan (BoJ) have opposed too much government intervention both in the domestic economy and in the external economy. The government has sought to promote economic recovery through new policy packages. These measures have included subsidies for private sector investment, particularly where there are environmental benefits. Other subsidies have been in the form of reduced energy and food costs, targeted at the most vulnerable households. The BoJ has also been actively adopting expansionary monetary policy.

Source: Adapted from OECD Economic Outlook, Volume 2022 Issue 2, 1 March 2023

Rising inflation is a huge threat to all grocery retailers, not just supermarkets. Cost increases must inevitably be passed on to customers in the form of price increases. Very small net profit margins, typically 0.5% for supermarkets, mean that there is a limit to the extent that cost increases can be absorbed into a business. There is also a limit to the opportunities for economies of scale to consistently bring cost savings into a business.

The market in the UK is fiercely competitive. It has become even more competitive since the arrival of Aldi and Lidl in the 1990s. Initially regarded as just price cutters, they have now established themselves as quality providers of price-competitive products, many of which are exclusive to their stores. In 2022, Tesco and Sainsbury's were running 'price match' schemes on hundreds of products sold by their rivals Lidl and Aldi. Another area of intense competition is vehicle fuel. Larger supermarkets usually have on-site petrol stations selling fuel at competitive prices. Fuel sales can account for 10% or more of total sales. Discounted petrol prices can attract customers to shop at a particular supermarket, especially when there is a special promotion.

Supermarkets have sought to control their supply chains to provide a competitive edge. These supply chains include the farming, manufacturing, packaging and transporting of food and other products. The power of large supermarkets to control their supply chains has not escaped the attention of the UK's Competition and Markets Authority. This regulatory organisation has undertaken many investigations into how supermarkets treat their suppliers but there have been few fines or prosecutions for anti-competitive behaviour.

Source: Adapted from Onita L, The Telegraph, *6 January 2022*

Extract 2: The 'Big Four' supermarkets in the UK

Tesco has been the market leader for many years. Tesco has over 4600 stores in the UK including 1800 local convenience stores. It has a loyalty card (Clubcard) and an ever-widening range of own-brand food and non-food products. Its dominant position in the market gives Tesco 'price leadership', meaning that other retailers with lower market shares may follow pricing changes made by Tesco.

Sainsbury's has over 1400 stores, half of which are local convenience stores. Sainsbury's has a strong reputation for quality, especially for its own brands. Until recently, it charged a premium price for its grocery products. However, price reductions and price matches are now key features of the company's competitive strategy to retain market share.

Asda, with over 600 stores, has a competitive strategy that has always focussed on charging lower prices compared to its rivals. It was the first of the 'Big Four' to sell clothing and other non-food items.

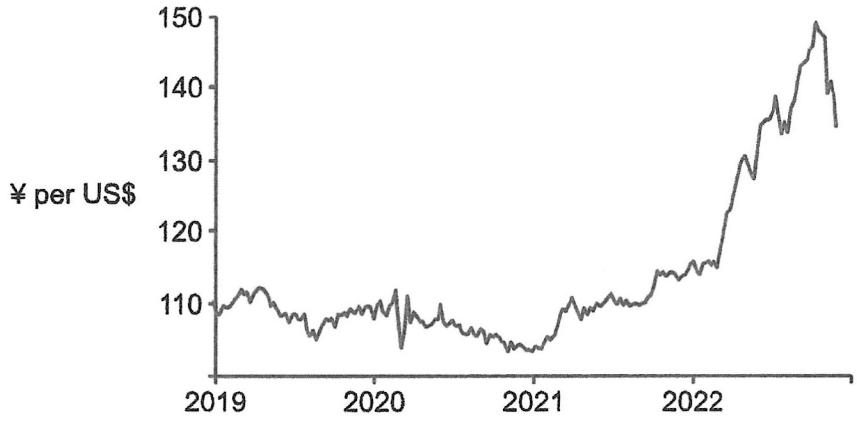
Morrisons has around 500 stores. Unlike the other three supermarkets, it has extensive interests in food processing, production and agriculture. Many of its fresh products are sourced within a short distance of its factories and distribution centres. Morrisons has a vertically integrated structure (for example, the company owns farms) which is a central pillar of its pricing strategy.

Source: Downie R, Investopedia, 23 September 2021

Extract 4: Historic depreciation of the Japanese yen (¥)

Figure 1 shows how the yen weakened against the US dollar (US$) throughout 2022. In March, the exchange rate was ¥115 to US$1. In May, it had fallen to ¥135 to US$1. It continued to depreciate until October, when it reached just below ¥150 to US$1, a critical point in the eyes of many economists. Politically, it was a key concern. At the time, the Minister of Finance described the currency as a 'bad, weak yen', fearing a negative impact on Japan's already fragile economy. The government's concern was that the substantial depreciation would force up energy and food prices too far. This would be particularly serious due to Japan's heavy reliance on imports of both.

Figure 1: Japanese yen to US dollar exchange rate, 2019 to 2022



Source: tradingeconomics.com

Superficially, it might be expected that the export sector would benefit from the depreciation. Not so! Ongoing supply chain blockages, as a consequence of the COVID-19 pandemic, restricted the output of electronics and vehicle manufacturing companies worldwide. There was a particular global shortage of semiconductors and other essential components. Japanese companies were therefore restricted in the post-pandemic output they could export.

Source: Adapted from Akimoto D. The Diplomat, *22 November 2022*

(a) Using the information in Table 1, compare the change in forecast total retail grocery sales to that for online sales in the UK between 2021 and 2026. [2]

(b) Explain **two** factors that are likely to determine the forecast increased demand for online shopping. [4]

(c) Using the evidence in Extracts 1 and 2, explain **two** features of UK supermarkets that demonstrate the characteristics of an oligopoly. [4]

(d) With reference to Extracts 1 and 2, explain **one** possible reason why supermarkets might seek to control their supply chains. [2]

(e) If Sheng Siong and DFI decide to merge, discuss whether the CCCS should intervene in the merger due to adverse effects on consumers and other supermarkets in Singapore. [8]

(f) Discuss whether price competition is the best way for supermarkets to raise revenue. [10]

[Total: 30]

Question 2: International tourism in ASEAN countries after the COVID-19 pandemic

Extract 5: Economic importance of international tourism in ASEAN countries

International tourism is arguably the fourth largest item in global trade. It is particularly significant in most ASEAN economies that attract international visitors from high-income countries in Western Europe and from Australia and New Zealand. There are several reasons why demand from these countries has grown. Economic growth and rising living standards have given more people greater disposable income. More affordable air transport has also been a factor as airlines have used larger jet aircraft to carry tourists to long-haul destinations. Especially relevant in ASEAN countries has been the desire of international tourists to seek a different experience from that offered in Europe and elsewhere.

In 2019, prior to the COVID-19 pandemic, tourism's contribution to GDP was significant in many ASEAN countries: 12% in Malaysia, 11% in Singapore, 6% in Indonesia and 5% in Vietnam. The pandemic hit the tourism sectors hard in most ASEAN countries, as shown in Table 3 by the fall in international tourist arrivals in 2020 and 2021. Governments had little warning of the profound effect on their economies.

Table 3: International tourist arrivals in selected ASEAN countries, millions, 2017 to 2022

	2017	2018	2019	2020	2021	2022
Indonesia	14.04	15.81	16.11	4.05	1.56	5.89
Malaysia	25.95	25.83	26.10	4.33	0.13	10.07
Singapore	17.42	18.51	19.11	2.74	0.33	6.31
Vietnam	12.92	15.50	18.01	3.69	0.00	3.66

Source: ASEANstats, 17 September 2024

In 2021, a report from the Economist Intelligence Unit (EIU) forecast that global international tourist arrivals would be expected to recover from 2022 onwards but would fail to return to 2019 levels until much later. The report noted that the market in Asia would be slower to recover compared to markets in Western Europe and North America. Three reasons were given for the difference. First, Asia was relatively slow to open its borders in 2022 and there were differing controls and rules between countries which could restrict the flow of visitors. Second, for Western European visitors especially, the cost of air travel to Asia had increased in real terms and not all air services had opened up. Third, there was a growing recognition amongst European travellers of the negative contribution to climate change of increasing long-haul travel.

The EIU noted that due to the slow recovery in international travel, the tourist industry should increasingly be looking to domestic travel to provide relief from the problems in the international market. This is fine for high-income countries in Western Europe and North America but less easy for the low-income countries that make up most members of the ASEAN organisation.

Source: Adapted from Tourism in 2022, A report by the EIU, 2021

Extract 6:

Content ('The real winners in the US-China trade dispute'; dw.com) removed due to copyright restrictions.

Table 3: US trade in goods with Vietnam, 2017–2021

Year	US exports to Vietnam (US$bn)	US imports from Vietnam (US$bn)	US Balance of Trade with Vietnam (US$bn)
2017	8134	46477	–38343
2018	9676	49140	–39464
2019	10821	66461	–55640
2020	9912	79619	–69707
2021	10947	101908	–90961

Source: US Census Bureau, 11 July 2023

Extract 7: Prospects for the UK's and China's accession to the Comprehensive and Progressive Agreement for the Trans-Pacific Partnership (CPTPP)

The CPTPP is a trade agreement between 11 countries in the Asia-Pacific Rim. They are Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore and Vietnam. As a bloc, these economies are committed, in principle, to trade liberalisation through tariff-free access to each other's markets.

The UK formally applied to join the CPTPP in February 2021, just weeks after completing Brexit, a process of withdrawal of the UK from the European Union. Full CPTPP membership would put the UK at the heart of the Asia-Pacific Rim with full access to countries that are seen as the driving force for global economic growth. Membership would also transform the nature of the CPTPP and enhance its standing as a powerful supporter of globalisation at a time when anti-globalisation threats cannot be ignored. With the admission into the CPTPP, UK industries would be able to highlight their expertise in areas such as services and digital trade. They would have the capability to establish efficient supply chain networks and leverage the member countries' diverse economic characteristics, including their resource endowment, wage structures and stages of economic development.

The rationale behind the CPTPP lies with the principle of comparative advantage. Consumers gain through lower prices and more variety of goods and services. Producers gain through being able to reduce unit costs through a more competitive and larger scale market. Resources are being used more efficiently than if each member of the bloc sought individual trade deals.

Extract 8: Tourist taxes – what are they and do they work?

An increasing number of destinations around the world are introducing tourist taxes. These taxes aim to raise funds to reduce the negative effects of mass tourism and to control visitor numbers. They are controversial and far from ideal but are a response to tourist numbers that exceed the socially optimal level at a growing number of locations.

Tourist taxes are small fees usually levied indirectly through accommodation providers such as hotels or through holiday companies that arrange all-inclusive packages for tourists. The taxes are typically aimed at overnight visitors. The number of places already collecting tourist taxes is growing. Table 4 shows a small number of such places in Asia where these taxes apply.

Table 4: Examples of tourist taxes in 2023

Country	Details of tourist tax
Thailand	€8 per visit
Indonesia (Bali only)	€9 per visit
Japan	€8 departure tax
Malaysia	€4 per night

Note: The euro (€) is the common currency of most EU countries. The exchange rate between the euro and the Singapore dollar (S$) was approximately 1€ to S$1.45 in 2023.

Source: Wright R. Euronews, 11 May 2023

Bhutan has an alternative approach. Rather than a tourist tax, it requires visitors to spend at least the equivalent of €250 per day.

The purpose of these taxes is to reduce the negative effects of high volumes of tourists. These taxes can be seen as a type of 'green tax', especially if the tax revenue raised is being spent to protect natural resources and wildlife or repair damage caused by tourists.

Local residents in popular tourist destinations are affected in many ways. For example, the noise and disruption that results from overcrowding, higher rents and inflated prices in restaurants and shops, pressure on public services and the diversion of water from agriculture to tourist hotels. The result is that in recent years, there has been a growing opposition to certain types of tourism.

Collecting tourist taxes is not a difficult process. Taxes can be adjusted for different types of travellers and the costs and benefits they bring. Variations can be made for peak and off-peak seasonality; it is therefore clear why some destinations have opted to levy tourist taxes.

Will tourist taxes solve the problem? The short answer is unquestionably 'no', without addressing the core problem of sustainability. Governments should plan for tourism by taking into account the negatives of higher visitor numbers as well as the positives and accept the fact that 'more' does not always mean 'better'. Taxing tourists is a natural response when the industry fails to pay its way; while this is legitimate, it is not going to fix tourist numbers that exceed the socially optimal level.

Source: Adapted from Francis J., Tourist taxes – what are they and do they work? responsibletravel.com. 11 May 2023

(a) With reference to Figure 2:

(i) Explain how the appreciation of the Chinese yuan against the US dollar is represented in a particular time period. [2]

(ii) Using demand and supply analysis, explain **one** possible reason why the Chinese yuan has appreciated against the US dollar on the foreign exchange market. [2]

(b) Explain how the change in the exchange rate from March to September 2018 shown in Figure 2 might have affected China's balance of payments. [4]

(c) Explain how increased exports of health supplies and equipment from China might have affected national income and the general price level in China. [4]

(d) Discuss the extent to which countries such as Vietnam, Malaysia and Taiwan are 'the real winners in the US-China trade dispute'. [8]

(e) Discuss whether the UK or China will benefit more from joining the CPTPP. [10]

[Total: 30]

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Question 2 Table 4	© Wright R; *Barcelona increases its tourist tax this week: Where else will you have to pay to enter in 2024?* euronews.com/travel/2024/04/01/tourist-taxes-all-of-the-countries-you-will-have-to-pay-to-enter-in-2022 11 May 2023
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